

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 24-14

AIRBOSS DEFENSE GROUP, LLC,

COMPLAINANT,

v.

FEDEX TRADE NETWORKS TRANSPORT & BROKERAGE, INC.,
MEDITERRANEAN SHIPPING COMPANY S.A. and MEDITERRANEAN
SHIPPING COMPANY (USA) INC., as agent for Mediterranean Shipping Company
S.A., and TOTAL TERMINALS INTERNATIONAL,

RESPONDENTS.

**AIRBOSS DEFENSE GROUP, LLC’S RESPONSE IN OPPOSITION TO
FEDEX TRADE NETWORKS TRANSPORT & BROKERAGE, INC’S
MOTION TO DISMISS, OR IN THE ALTERNATIVE,
MOTION FOR SUMMARY DECISION**

I.

LEGAL STANDARD FOR MOTION TO DISMISS

The Commission’s Rules of Practice and Procedure (“Rules”) do not provide for motions to dismiss. But Rule 12 of the Commission’s Rules states that the Federal Rules of Civil Procedure (“Federal Rules”) will be followed in instances that are not covered by the Commission’s Rules, to the extent that the application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. The “Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when

considering dismissals based on failure to state a claim.” *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2 F.M.C.2d 198, 202 (FMC Oct. 129, 2020).

“When, as here, jurisdictional facts are intertwined with facts central to the merits of a claim, the Rule 12(b)(6) standard applies.” *MAVL Capital*, 2 F.M.C.2d at 203 (citing *Kerns v. United States*, 585 F.3d 187, 192–93 (4th Cir. 2009)). “Under Fed. R. Civ. P. 12 (b)(6), the facts alleged are taken as true, and all reasonable inferences are drawn in the complainant’s favor.” *Id.* (citing *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, Docket No. 12-02, 34 S.R.R. 35, 54 (FMC Dec. 18, 2015)).

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009); *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Docket No. 09-01, 32 S.R.R. 126, 136 (FMC Aug. 1, 2011). “Fact finders are to construe claims liberally, accept as true all well-pleaded facts, and draw all reasonable inferences in the complainant’s favor.” *Iqbal*, 556 U.S. at 662; *Twombly*, 550 U.S. at 555. “When there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief.” *Iqbal*, 556 U.S. at 679. The focus at this stage is not with whether a complainant can prevail on its claim, but whether it

has adequately pled the claim. *Negron v. USAA Casualty Ins. Co.*, No. 13-01020, 2014 WL 4411676 at *2 (M.D. Tenn. 2014).

II.

INTRODUCTION

Respondent FedEx Trade Networks Transport & Brokerage, Inc. (“FTN”) does not dispute the sufficiency of Airboss Defense Group, LLC’s (“ADG”) complaint. FTN’s motion is a flawed Rule 12(b)(6) motion that addresses neither the legal sufficiency of the factual allegations in ADG’s complaint nor the pleading standards of Rule 8. Further, FTN’s motion lacks any plausibility analysis under *Iqbal* or *Twombly*. Instead, FTN asks the Commission to rubber-stamp FTN’s interpretation of that which the parties intended to settle and, ultimately, to enforce a *disputed* settlement agreement (the “Disputed Settlement Agreement”) as to FTN’s first Maryland lawsuit, *FedEx Trade Networks Transport & Brokerage, Inc. v. Airboss Defense Group, LLC*, No. 22-cv-01313-LKG, 2023 WL 3025284 (D. Md. Apr. 20, 2023) (the “First Maryland Lawsuit”).

In a flawed effort to get the terms of the Disputed Settlement Agreement before the Commission, FTN mischaracterizes a passing reference in ADG’s complaint to justify introducing the Disputed Settlement Agreement in this action. But ADG’s complaint neither refers to the Disputed Settlement Agreement nor is it an integral part of ADG’s complaint.

FTN's motion continues a pattern of deception by failing to disclose that FTN filed a second lawsuit on August 15, 2023 in Maryland to enforce the Disputed Settlement Agreement. *See FedEx Trade Networks Transport & Brokerage, Inc. v. Airboss Defense Group, LLC*, No. 23-cv-02232-JMC, (D. Md. Aug. 15, 2023), (the "Second Maryland Lawsuit") and the Declaration of Cameron W. Roberts ("Roberts Dec."), a copy of FTN's complaint, ECF No. 1, attached as Exhibit "A." In the Second Maryland Lawsuit, ADG's answer alleges that the Disputed Settlement Agreement is unenforceable and raises affirmative defenses, including FTN's violations of the Shipping Act. *See Roberts Decl.*, a copy ADG's Answer, Affirmative Defenses at pages 5-6, ECF No. 17, attached as Exhibit "B."

The Commission is the better forum for deciding the implications of the Shipping Act, the enforcement of which is within the Commission's exclusive jurisdiction. After the Commission decides Shipping Act issues, the court in the Second Maryland Lawsuit should decide the Disputed Settlement Agreement. Moreover, the Commission's jurisdiction is limited to Shipping Act disputes and that jurisdiction does not extend to disputed settlement agreements that are the subject of district court litigation. But if the Commission were to find that it has such jurisdiction, then the Commission should allow the parties to conduct discovery and to brief the issues because there are significant public policy reasons to bar a regulated entity from obtaining releases or waivers of violations of the Shipping Act in a settlement agreement.

Without the Commission’s determination in this case, the parties in the federal litigation cannot know if the charges and the amounts FTN has assessed are lawful. Therefore, the Commission must decide if there were violations of the Shipping Act before the federal litigation can continue. Accordingly, the Commission should deny FTN’s motion to dismiss, or in the alternative, motion for summary decision, and allow ADG to establish the Shipping Act violations that ADG alleges in its complaint.

III.

ADG’s COMPLAINT ALLEGES SUFFICIENT MATERIAL FACTS AND FTN OFFERS NO UNDISPUTED FACTS

FTN does not dispute that ADG’s complaint alleges facts sufficient to state a claim under the Shipping Act. ADG’s complaint alleges that FTN’s Shipping Act violations arose from a U.S. Customs and Border Protection (“CBP”) withhold release order as to the subject 202 containers of nitrile examination gloves (the “Containers”) and an obstruction of the *subsequent* exportation of the subject gloves. ADG’s complaint alleges that FTN withheld information from ADG necessary to evaluate the disputed FTN charges, which parties were owed additional charges, the location of the Containers, and that for months, FTN refused to provide services without payment of all disputed charges, including charges *unrelated* to the Containers. Verified Compl. ¶¶ 24–32, Mar. 20, 2024. In ruling on a Rule 12(b)(6) motion, or in the alternative, a summary decision, the Commission must accept the above undisputed facts as true.

FTN's request for a summary decision is based on an allegedly undisputed fact: the terms of a Disputed Settlement Agreement. But the interpretation of the terms and the enforcement of the Disputed Settlement Agreement are disputed issues in the Second Maryland Lawsuit. The allegations of FTN and ADG in the Second Maryland Lawsuit underscore that there is a dispute in that action that precludes the Commission's grant of any summary decision in this action. Accordingly, the Commission should deny FTN's motion to dismiss, or in the alternative, motion for summary decision, and allow ADG to establish the Shipping Act violations that ADG alleges in its complaint.

VI.

ADG DID NOT RELY ON THE TERMS OF THE DISPUTED SETTLEMENT AGREEMENT WHEN IT FILED ITS COMPLAINT

FTN asks the Commission to go beyond ADG's complaint and to consider the Disputed Settlement Agreement as the basis for the motion to dismiss, or in the alternative, motion for summary decision, because ADG allegedly described "key terms in Paragraph 23" and in reliance on *Santa Fe Discount Cruise Parking, Inc., et al. v. The Board of Trustees of the Galveston Wharves, et al.*, Docket No. 14-06 (ALJ, Nov. 21, 2014). Respondents' Mot. to Dismiss the Compl., Mot. for Summ. Decision, May 31, 2024.

The rule in *Santa Fe* requires ADG to have “relied upon the terms and effect of a document in drafting the complaint” so that the document is “integral to the complaint.” *Santa Fe*, Docket No. 14-06 at 10. That is not the case here.

By comparison, in *Santa Fe*, the parties were subject to a Commission-regulated tariff, which was the cornerstone of Santa Fe’s allegations in its complaint. That complaint refers to the tariff more than 70 times and quotes multiple paragraphs from the tariff, arguing that the tariff violated the Shipping Act. Roberts Decl. at Exhibit C at 2, 4, 7–11, 14–17, 19–20, and 21–29.

Unlike the voluminous tariff references in *Santa Fe*, not once does ADG’s complaint refer to the Disputed Settlement Agreement. ADG’s complaint neither incorporates nor relies on the Disputed Settlement Agreement. FTN’s assertion mischaracterizes a passing reference in paragraph 23 of the complaint to damages ADG suffered because of FTN’s general liens as “key terms.” Respondents’ Mot. to Dismiss the Compl., Mot. for Summ. Decision 2–3, May 31, 2024. *But those allegations establish FTN’s Shipping Act violations without referencing the Disputed Settlement Agreement.*

There has been no discovery in this action. Because FTN’s motion is a motion to dismiss or, alternatively, a motion for summary decision, the Commission must accept as true the allegations of fact in ADG’s complaint. If the Commission were to consider FTN’s papers as a motion for summary decision, then ADG’s position would be that the complaint alleges facts that create multiple triable issues of material fact that preclude a summary decision. Accordingly, the Commission should deny FTN’s

motion to dismiss, or in the alternative, motion for summary decision, and allow ADG to establish the Shipping Act violations alleged in ADG's complaint.

V.

**THE COMMISSION SHOULD DECLINE TO INTERPRET THE TERMS OF
A DISPUTED SETTLEMENT AGREEMENT ALREADY BEFORE
A DISTRICT COURT**

FTN filed its action to enforce the Disputed Settlement agreement on August 15, 2023. The Maryland district court should decide whether the Disputed Settlement Agreement is enforceable under the first-to-file rule. There is a strong preference to avoid duplicative litigation, and the first-to-file rule favors interpreting the terms and enforceability of the Disputed Settlement Agreement in the Second Maryland Lawsuit. *In re Google Inc.*, 588 F. App'x 988, 990 (Fed. Cir. 2014); *Elecs. For Imaging, Inc. v. Coyle*, 394 F.3d 1341, 1347 (Fed. Cir. 2005); *Merial Ltd. v. Cipla Ltd.*, 681 F.3d 1283, 1299 (Fed. Cir. 2012).

ADG filed its FMC complaint to establish FTN's Shipping Act violations. FTN's Shipping Act violations are defenses to the enforcement of the Disputed Settlement Agreement. Granting FTN's motion would prevent ADG from establishing its defenses without a full and fair hearing on the merits. The Maryland district court is not the right to forum to decide the Shipping Act violations in the Second Maryland Lawsuit because Congress intended for the FMC to administer and adjudicate violations of the Shipping Act. The Commission's jurisdiction is limited to the

Shipping Act. *Seawinds Ltd. v. Nedlloyd Lines, B.V.*, 80 B.R. 181, 184 (N.D. Cal. 1987) (citing Report of the House Committee on Merchant Marine and Fisheries, H.R.Rep. No. 53(I), 98th Cong., 1st Sess. 3-4, *reprinted in* 1984 U.S. Code Cong. & Ad. News 167, 168–69), *aff'd*, 846 F.2d 586 (9th Cir. 1988). Accordingly, the Commission should follow its statutory mandate and hear ADG’s complaints. *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 30 S.R.R. 991, 998 (FMC May 2, 2006); *Seawinds*, 80 B.R. at 184.

FTN relies on *Quality Recycling Servs., Inc. v. Page Int’l, Inc.*, No. 11-2694, 2012 WL 2577514 (W.D. Tenn. July 3, 2012), without explaining the significance of that case’s procedural history, which consisted of Quality’s 2005 state court action in Tennessee (the “State Action”), Quality’s 2010 FMC action that alleged Shipping Act violations (the “FMC Action”), the 2008 settlement of the State Action, the FMC’s 2010 award of reparations in the FMC Action, and Quality’s 2011 action in federal court to enforce the FMC’s award of reparations (the “Federal Action”). In the Federal Action, the court applied Tennessee law and held that the 2008 settlement agreement was enforceable and included a release of Quality’s claims under the Shipping Act. But that holding is unremarkable because that court also held that the agreement was enforceable because of an *absence* of “fraud, duress, or some other defense to enforceability.” *Quality Recycling Servs.*, 2012 WL 2577514 at *12. The instant dispute is distinguishable and within the above exception that *Quality* identified.

In the Second Maryland Lawsuit, ADG has raised several affirmative defenses to the enforcement of the Disputed Settlement Agreement that are within the *Quality*

exception, such as material misrepresentation, fraudulent inducement, mutual mistake, duress, estoppel, illegality, violations of the Shipping Act, and violations of public policy. Because ADG's complaint falls within the exception to the rule, the Commission should deny FTN's motion to dismiss, or in the alternative, motion for summary decision, and allow ADG to establish the Shipping Act violations that ADG alleges in its complaint.

VI.

THE DISPUTED SETTLEMENT AGREEMENT WAS THE RESULT OF FTN'S UNREASONABLE ACTS AND VIOLATIONS OF PUBLIC POLICY

The Commission should not rubber-stamp FTN's conclusory statements concerning the "intentions" and the "scope" of the Disputed Settlement Agreement. If the Commission were nevertheless to consider the terms of the Disputed Settlement Agreement, then the Commission should permit ADG to conduct discovery and brief the Shipping Act violations that render the Disputed Settlement Agreement unenforceable.

The Commission must accept the allegations in ADG's complaint as true and treat those facts as *prima facie* evidence that the Disputed Settlement Agreement was the result of FTN's unreasonable rates and general liens that FTN filed with CBP in violation of the Shipping Act's rule against general liens, i.e., that holding a shipment for charges unrelated to that shipment is unreasonable. *Bernard & Weldcraft Welding Equip. v. Supertrans Int'l*, Docket No. 02-12, 2003 WL 136313 at

*14 n.14 (ALJ Jan. 8, 2003); *Petra Pet, Inc. v. Panda Logistics Ltd.*, Docket No. 11-14, 2012 WL 11914703 at *17 (ALJ Aug. 14, 2012), *aff'd* 2013 WL 9808694 (FMC Oct. 31, 2013).

To the extent that FTN relies on *Lisa Anne Cornell, et al. v. Princess Cruise Lines, Ltd.* (Corp.), *et al.*, Docket No. 13-02 (ALJ July 23, 2013), while the Commission considered the terms of a release in that case, the release was *not* the subject of ongoing litigation in a federal court. And in *Cornell*, the Commission refused to enforce the release because it violated public policy, stating that “there are public policy reasons for not permitting a person to release claims of future violations of the Shipping Act.” *Id.* at 42. “The Commission has held that persons cannot waive violations of the Shipping Act.” *Id.* at 42.

VII.

CONCLUSION

For the above reasons, ADG respectfully requests the Commission to deny FTN's motion to dismiss, or in the alternative, motion for summary decision, and allow ADG to establish the Shipping Act violations that ADG alleges in its complaint.

Dated: July 12, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on the 12th day of July 2024, I served the above **AIRBOSS DEFENSE GROUP, LLC'S RESPONSE IN OPPOSITION TO FEDEX TRADE NETWORKS TRANSPORT & BROKERAGE, INC'S MOTION TO DISMISS, OR IN THE ALTERNATIVE, MOTION FOR SUMMARY DECISION** on the parties listed below by email.

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